

Generative AI's Act Two

From Technology Hammer to Real Value

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By Sonya Huang, Pat Grady, and GPT-4

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Six Decades of Technological Progress Converged to Enable Generative AI

Generative AI is not sudden — it is the culmination of 60 years of Moore's Law, 40 years of internet data, and 20 years of mobile/cloud distribution.

60

Years of Moore's Law

Delivered compute horsepower to process exaflops of data



40

Years of the Internet

Produced trillions of tokens of training data

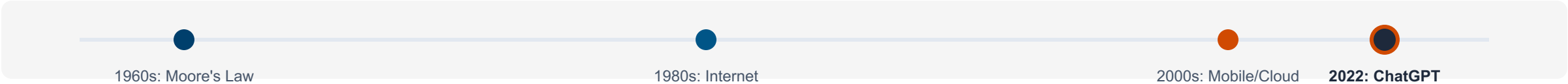


20

Years of Mobile & Cloud

Put a supercomputer in every human's palm





The Spark: ChatGPT ignited a Cambrian explosion of innovation not seen since the early internet

AI researchers became rockstars, hacker houses overflowed with autonomous agents, and the arXiv printing press ran nonstop.

GenAI Startups Surpassed \$1B Revenue Faster Than SaaS Ever Did

Despite hype-cycle skepticism, generative AI startups exceeded \$1B in revenue in months — a milestone that took SaaS years.

>\$1B

Startup Revenue Milestone

Reached in months vs. years for SaaS

Proving real commercial demand

ChatGPT

Fastest-Growing App in History

Strong product-market fit among
students and developers

Midjourney

Hundreds of Millions in Revenue

Team of just 11 people
Extraordinary capital efficiency

Character.ai — The Engagement Outlier

Users spend an average of **2 hours per session** in-app, popularizing AI entertainment and companionship.

The Reality Check

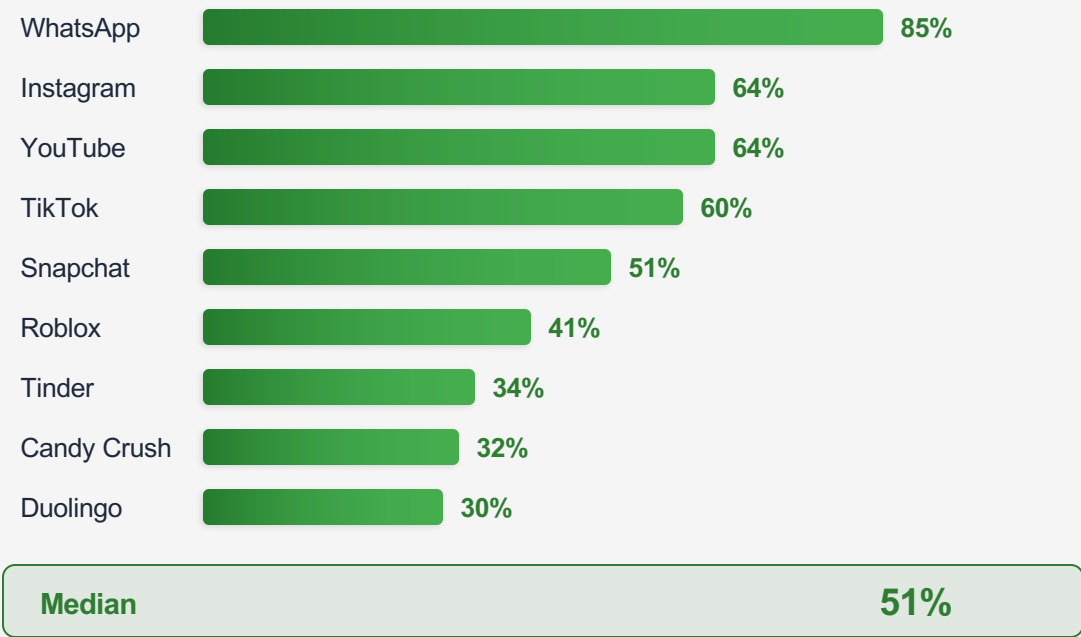
- Every company became an "AI copilot" — inboxes filled with undifferentiated pitches for "AI Salesforce" and "AI Adobe"
- The \$100M pre-product seed round returned; cracks appeared: artists challenged machine-generated IP, regulators debated policy
- **Many AI companies lack product-market fit or sustainable competitive advantage**

AI-First Apps Show 14% Median Retention vs. 51% for Incumbents

AI-first apps face a 3.6x retention disadvantage — the critical challenge separating novelty from sustainable product-market fit.

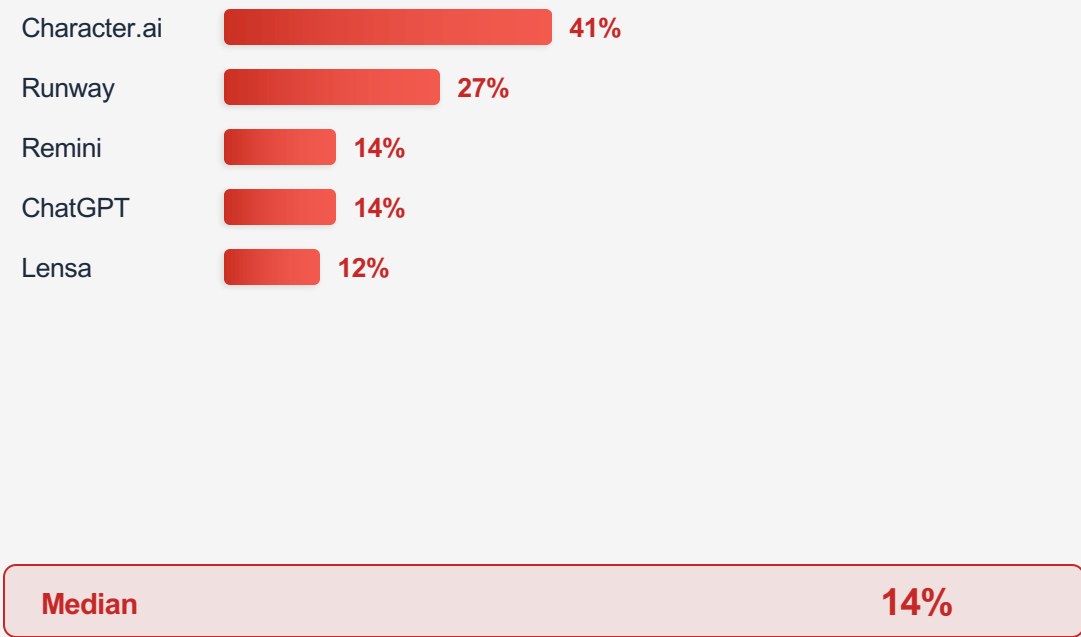
Incumbent Consumer Apps

Mobile app retention rates



AI-First Companies

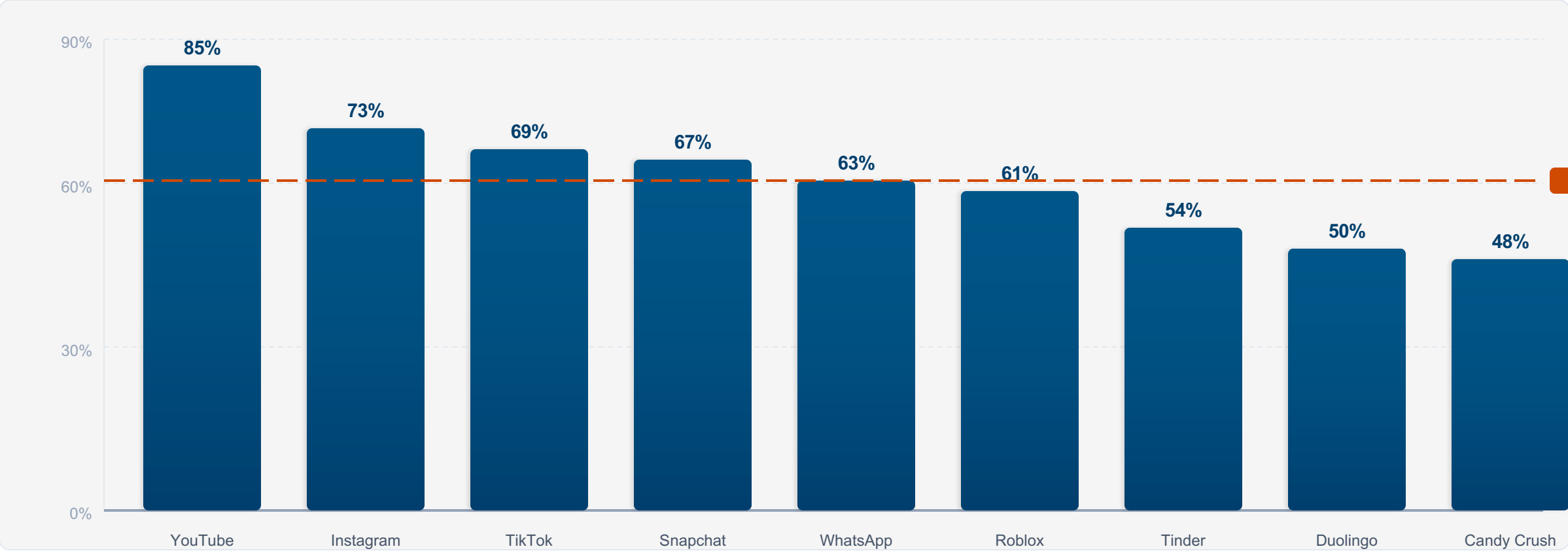
Mobile app retention rates



Retention Gap: 3.6x disadvantage for AI-first apps | Character.ai is the outlier at 41%, approaching incumbent levels

YouTube Leads Incumbents at 85% Monthly Active Usage

The engagement bar for AI apps is even higher than retention suggests — incumbents maintain a 63% median monthly active usage.



Context for AI builders: Even the lowest incumbent monthly usage (Candy Crush at 48%) exceeds the median retention of AI-first apps (14%).

Act 1 Was Technology-Out; Act 2 Is Customer-Back

The market is shifting from foundation models as the entire solution to foundation models as a component of comprehensive, workflow-integrated products.

Act 1: Technology-Out

- ✗ Foundation models = the **entire product**
- ✗ Novelty demos and lightweight wrappers
- ✗ Poor user retention (14% median)
- ✗ "AI hammer" looking for nails
- ✗ Thin wrappers around foundation models

Result: Undifferentiated products with no moat
"AI Salesforce" and "AI Adobe" pitches flooded inboxes



Act 2: Customer-Back

- ✓ Foundation models = **a piece of** the solution
- ✓ New editing interfaces, stickier workflows
- ✓ Multi-modal by nature
- ✓ End-to-end problem solving
- ✓ Comprehensive, workflow-integrated products

Result: Sustainable competitive advantage through workflow depth
Solving human problems, not demonstrating technology

Act 2 Exemplars

Harvey Custom LLMs for elite law firms

Glean Enterprise workspace AI search

Character AI entertainment & companionship

Ava Digital companions

Market Map Reorganized by Use Case, Not Model Modality

Sequoia's updated market map reflects the evolution from technology hammer to actual value delivery — organized by human problem, not by model type.

Old: Organized by Model Modality

Text Models

GPT, Claude, LLaMA

Image Models

Midjourney, DALL-E

Code Models

GitHub Copilot, Codex

- Technology-first categorization
- Focuses on what the model does, not what the user needs
- Encourages "hammer looking for nail" thinking
- **Result: Act 1 technology-out approach**



New: Organized by Use Case

Legal

Harvey
Custom LLMs for law

Enterprise Search

Glean
Workspace AI indexing

Companionship

Character, Ava
Digital companions

- Human-problem-first categorization
- Reflects increasingly multi-modal nature of applications
- Foundation models become components, not categories
- **Result: Act 2 customer-back approach**

What This Reorganization Signals

The shift from modality-based to use-case-based market maps mirrors the broader Act 1 → Act 2 transition: **technology must serve the customer, not define the category.**

Key Takeaways: What Separates Winners in Act Two

Winners in Act 2 will be companies that treat AI as a component, solve end-to-end problems, and build for retention from day one.

1. RETENTION IS THE CRITICAL CHALLENGE

AI-first apps at **14% median** vs. **51%** for incumbents.

A 3.6x gap that must close for sustainable businesses.

Character.ai at 41% shows it is possible.

2. FOUNDATION MODELS AS COMPONENT

Thin wrappers around LLMs will not survive.

Models are a piece of the solution, not the entire product. Build differentiation elsewhere.

3. MULTI-MODAL, WORKFLOW-INTEGRATED

New editing interfaces create stickiness.

End-to-end workflows that embed AI naturally into user habits will win.

4. \$1B+ REVENUE PROVES REAL DEMAND EXISTS

Despite hype cycles, the commercial opportunity is genuine.

GenAI reached \$1B faster than SaaS ever did. The market is real — but only for products that solve real problems.

5. END-TO-END HUMAN PROBLEM SOLVING DEFINES ACT 2

Technology must serve the customer, not the other way around.

Harvey, Glean, Character, and Ava exemplify this shift: they solve human problems first, and use AI as an enabler.

For Investors & Builders: The Question Is No Longer "Can AI Do This?"

It is: "Does this solve a real human problem end-to-end, with retention that rivals incumbents?"

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